

Q) Customer Segmentation Project

Segment customers based on behavior and demographics

Key Features:

- Perform clustering using tools like Python (scikit-learn) or Power BI
- Analyze purchase patterns and customer preferences
- Visualize segments and key characteristics

Expected Outcome:

Gain experience in customer analytics, segmentation, and targeted insights

Dashboard Insights:-

- 1. VIP Customers have both high income and high spending.**
2. The dashboard shows that VIP Customers belong to the high-income and high-spending category. These customers are the most valuable for the business because they generate higher revenue. The company should focus on retaining them through premium services, exclusive offers, and loyalty programs.
- 3. Budget Customers have lower income and lower spending.**

Budget Customers have comparatively lower annual income and spend less. They are more price-sensitive and may respond well to discounts, seasonal offers, and affordable product recommendations.

- 4. Loyal Customers spend a lot despite lower income.**

Loyal Customers have relatively lower annual income but maintain a high spending score. This indicates that they are highly engaged with the business and can be rewarded with personalized offers and loyalty benefits.

- 5. Most customers belong to the 26–35 age group.**

The Age Group Distribution chart shows that the majority of customers fall within the 26–35 age category. This suggests that marketing campaigns and product promotions should primarily target this age group.

6. Customer spending varies by gender.

The Gender Distribution and Spending Score visuals can be used to compare male and female customers. If the dashboard shows that female customers have a higher average spending score than males, it indicates that they contribute more to sales and may be an important target audience.